

Meta Platforms, Inc.

META NASDAQ

Buy	\$718.36 ▼ 0.41%	12M Price Target \$820.00	52-Week Range \$520.26 – \$779.82	Market Cap \$1.83T
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META: Pullback Looks Like Noise, Not a Trend Change

WHAT HAPPENED

- Stock drifted down ~3% over the last three sessions from \$742 to \$718 — no news catalyst, which usually means it's just profit-taking after a run near the 52-week high (\$779). Volume today was lighter than average, so this feels like a breather, not a dump.
- COO Javier Olivan sold ~\$850K worth of stock last week. That's small for an exec at his level and almost certainly a scheduled 10b5-1 sale (pre-planned, automatic), but the headline "cluster selling" flag is overstating it.

WHY IT MATTERS

Here's what I'm seeing: options flow is screaming bullish (put/call ratio of 0.45 means twice as many people betting up as down), with big call buying right at the \$720-\$722 strike expiring this month. That's traders positioning for a bounce — someone with real money thinks this pullback is a buying opportunity before earnings in late October. The bigger picture: META is sitting in a weird spot where the FTC antitrust case (seeking to break off Instagram and WhatsApp) is still grinding through appeals, but the Trump administration's approach to Big Tech has been more about content moderation fights than structural breakups, which quietly reduces the worst-case risk. Meanwhile, their AI capex (\$60B+ annual run rate) is finally starting to show up in better ad targeting and Reels monetization — that's why margins are holding up despite the spending.

POLICY & POLITICAL WATCH

Two things to watch right now: (1) The Kids Online Safety Act (KOSA) keeps bouncing around Congress — if a version passes, META has to spend heavily on age-verification and content filtering, which hurts smaller competitors more than them (regulatory moat). (2) The EU Digital Markets Act fines keep landing — META got hit again this summer, and more are likely, but these are rounding errors (\$200-400M) against \$45B+ in quarterly revenue. The real wildcard is the US-China AI chip export story: if Nvidia faces more export restrictions, META's AI infrastructure buildout could get bottlenecked, though they're better positioned than most because they're a priority customer.

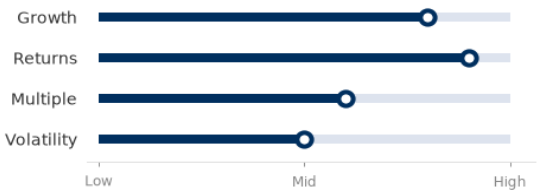
IS IT EXPENSIVE?

At \$718, META trades around 26x forward earnings — meaning you're paying \$26 for every \$1 of profit expected next year. That's a premium to the S&P 500 (~22x) but a discount to other mega-cap tech like MSFT and NVDA. The math works if you believe ad revenue keeps compounding 12-15% and AI investments eventually pay off; it breaks if Reality Labs keeps bleeding \$15B+/year with no clear path to profitability. Fair, not cheap.

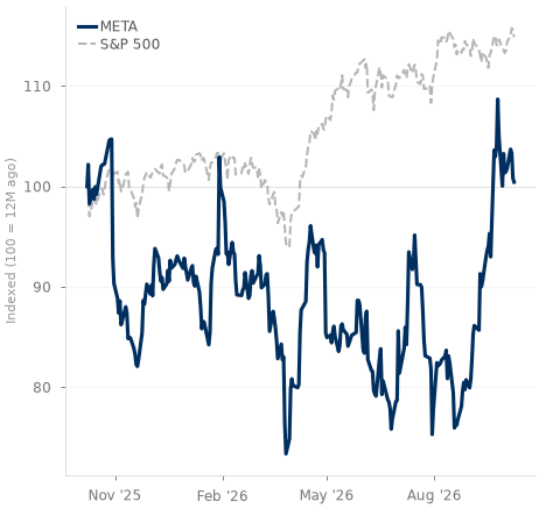
Key Data

Price (USD)	\$718.36
12M Price Target	\$820.00
Upside / (Downside)	+14.1%
Market Cap	\$1.83T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	26.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$760.00	\$725.00	\$680.00
6 Months	\$820.00	\$760.00	\$640.00
1 Year	\$900.00	\$820.00	\$600.00
2 Years	\$1050.00	\$900.00	\$550.00
5 Years	\$1400.00	\$1100.00	\$500.00
10 Years	\$2000.00	\$1500.00	\$450.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3% today) and Staples are leading — that's classic defensive rotation, suggests the market is nervous about something macro (likely oil prices or inflation re-acceleration). Financials up on steeper yield curve expectations.

COOLING OFF: Tech isn't on the leaderboard today, which explains META's drift. Comm Services (META's sector) only up 0.49% — money is moving OUT of growth, not in.

ROTATION WATCH: This looks like a mini risk-off day — energy and staples leading while tech sits out is a defensive signal. If this persists more than a week, mega-cap tech including META could see more pressure before earnings.

RELATED PLAY: If you want AI exposure without single-stock risk, the hyperscaler infrastructure names (data center REITs like EQIX, DLR) benefit no matter which Big Tech wins the AI race.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Search is proving more resilient to AI disruption than feared, and Gemini traction is improving — direct read-through for META's own AI monetization story.
- NFLX (Netflix): Ad-tier is scaling, proving the digital ad market is still healthy — bullish signal for META's core business.

META CONTEXT: META is lagging slightly over the last week but still at 76% of its 52-week range — not weak, just resting. It's been leading the Mag 7 for most of 2026, so some rotation is natural. Not a red flag unless we break below \$700 on volume.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Core long-term holding with a reasonable entry here, but I'd love another \$20-30 of pullback before getting aggressive.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that antitrust headline risk doesn't ruin your year.

ENTRY POINTS: Add in the \$690-710 zone. If we see a macro-driven flush to \$650, that's a table-pounder.

TIME HORIZON: 12-24 months — the near-term catalyst is Q3 earnings in late October; the bigger one is any resolution on the FTC case over the next year.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, or if Reality Labs losses accelerate past \$20B/year with no roadmap, the story breaks.

HEDGING: Simplest approach — buy a put option expiring after earnings (think of it as insurance that pays out if the stock drops). Costs ~2-3% of your position but caps your downside through the main risk event.